GMS WEEKLY

Your Source for Recycling News

July 19th, 2024
Week 29
Volume 263, Issue 1143

QUOTE of the WEEK

"Nearly all men can stand adversity, but if you want to test a man's character, give him power."

– Abraham Lincoln

Highlights:

- **Shaky**
- **Supply limited**
- **Bangla unrest.**
- **Major worries.**
- **Snapped stiletto.**
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- MARKET COMMENTARY -

DECIDEDLY DICEY!

Indian sub-continent ship recycling markets remain decidedly dicey as both currencies and local steel plate prices in India & Bangladesh declined even further this week, and vessel prices and demand take on a whole new meaning of industrywide suffering, especially with Turkey and Pakistani ship recycling markets still being remanded at the same resort over recent weeks.

And with the way things are going in the Middle East, the situation in August (likely even leading into September) seems destined to keep things depressed over the short-term in the ship recycling sector, in that, not only are the Houthis turning increasingly brazen and are now conducting direct aerial raids inside Israel (with the recent drone bomb that detonated over Tel Aviv killing at least one and wounding several more), but the IDF also quickly counter-engaged Houthi targets in the port city of Al Hudaydah in Western Yemen, where the source of the drone strike is thought to have originated from. This back-and-forth is destined to metastasize an already fragile restraint between Israel and its enemies in the region, and is further setting the stage for an imminent escalation in the severity of ongoing attacks - before the situation gets any better. This will also continue to restrict the supply of vessels for the immediate future / likely until Q4 '24, and this will invariably assist the ongoing & admirable performance of freight rates across key sectors, even in the face of traditional summer slowdowns.

On the macro end of the markets this week, ongoing student riots in Bangladesh have increased in severity, resulting in a rising death toll and increasing mobile & internet outages across major cities that are now affecting key financial hubs and increasing the disability of this market to conduct regular business. India on the other side is clearly highlighting a market in retreat on the back of a tumultuous General Election outcome and all eyes remain peeled on the upcoming budget due to be announced July 23rd, which increasingly seems to be a negative one, especially given the recent performance of key domestic fundamentals.

Should India's budget turn out to be negative, Ship Owners & Cash Buyers with tonnage intended for Alang will find themselves chasing a market that's snapped a stiletto, while simultaneously creating surprising news of high-priced fixtures that seem destined to lose money at the time of delivery. The focus therefore seems to be falling on an already damp Pakistani market, where prices, though below USD 500s/LDT, seem to be safe choice for non-HKC tonnage. HKC tonnage will sadly have to bite the bullet for India as Turkey receives a double tap this week.

For week 29 of 2024, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	*Shaky*	510 / LDT	530 / LDT	540 / LDT
2	India	Uncertain	500 / LDT	520 / LDT	530 / LDT
3	Pakistan	Dull	490 / LDT	510 / LDT	520 / LDT
4	Turkey	~~Dead~~	360 / LDT	370 / LDT	380 / LDT

BANGLADESH

TUMULTUOUS TANGO!!

Deadly crackdowns.

It has been another worrying and chaotic week in Bangladesh this week as deadly protests and government crackdowns beset the country, leaving a giant footnote in the nation's unfolding tumultuous tango that is not only the ongoing economic crisis of depleting U.S. Dollar reserves, but a violent civil unrest, which has seen deathly clashes between riot police and a growing body of students who are protesting recently imposed quotas that set 30% of future government jobs for the descendants of families who fought in the Liberation War of 1971.

Quotas reversed?

Although these protests were initially reported to be on the peaceful side, the manner in which the government has handled the situation has reportedly resulted in the untimely and unfortunate deaths of over 100 of its citizens, in what is now being labelled as one of the most violent unrests seen in the country for decades. While the government has not only imposed an immediate blackout on communications & the internet (in an attempt to curtail the possible spread & dissemination of political & even intentional misinformation among its citizens), but a countrywide curfew was also reportedly imposed in order to minimize interactions between unruly protestors, innocent bystanders, and riot police.

Surprisingly, the government has reportedly succumbed to domestic pressures and is said to have reversed its recent ruling on quotas late on Sunday.

Perky news?

In comparatively perkier news, another Bangladeshi ship recycling yard reportedly received its SoC (statement of compliance) with the Hong Kong Convention (HKC) from Class IRS this week, resulting in a grand total of 5 Bangladeshi ship recycling yards now receiving this coveted recognition & certification, as Bangladeshi recycling yard owners continue to upgrade their facilities and follow in the footsteps of not only neighbouring SoC certified ship recycling yards, but also those in Alang where a healthy majority of yards already stand in compliance with convention.

On the flippant.

On the flippant, Bangladeshi fundamentals are facing the unfolding wrath of local instability as not only did local steel plate prices suffer another USD 5/Ton tumble this week, but the Bangladeshi Taka has also tumbled dangerously close to BDT 118, as it retreated to BDT 117.90 against the U.S. Dollar where it ended the week. This has resulted in a shamefully low display of offers at the bidding tables of late and yet, Bangladesh's anchorage remains the only market with the healthiest waterfront to report week after week. In fact, this week alone, Chattogram Chop Shops are in the process of, or have taken deliveries of 6 times the number of vessels & LDT at Gadani this week.

As such, despite being in a state of decline, this market remains the busiest of all the competing ship recycling destinations worldwide.

NO MARKET SALES REPORTED

INDIA

GRIP LESS!

Pursuant to the unexpected outcome of India's recently concluded General Elections, the ship recycling sector in Alang has been unabashedly struggling to gain any foothold or stability ever since, even though India's Annual Budget for FY24 – FY25 is scheduled to be announced this coming week (on July 23rd) and most had previously been banking on a relatively positive outcome to pending infrastructure projects that remain scheduled in the political pipeline. However, as Alang recyclers have seen local steel plate prices sliding uncontrollably of late, not only on account of a lacklustre budget that is now being expected, but also economic changes that have traditionally accompanied summer / monsoon months that are taking a larger bite out of Alang's diminishing ability at the bidding tables and is turning into a truly shocking & pitiful performance from the largest ship recycling destination in the world. But why is this happening?

Pitiful performance.

Break it down!

When times are good and recycling tonnage is aplenty, the monsoon months have historically seen a marginal uptick in the import of competing (cheaper) steel products to cover any omnipotent shortages in the availability of ships steel that may erupt during the unpredictable rains, as expected slowdowns in cutting activities as well as the seasonal migration of labourers heading home during the rainy months does create strains of unpredictability on overall ship recycling activities. This has led to domestic steel mills leaning on steel imports as a stop-gap measure through the rains and although this trend has repeated itself enough to establish a solid-enough pattern, this year's general lack of faith in the outcome of the budget has not only seen a dithered interest in the import of cheaper steel products, but also likely to see unfulfilled infrastructure promises as a general lack of demand for steel is increasingly oozing from India of late, one that has seen even local steel plate prices decline further this week and that too by about USD 8/Ton. Of note, this drop has now set the trading price of local steel at USD 500/Ton (possibly lower in next week's report) and is further threatening to take vessel prices down with them, a sentiment that has been on display in abundance this week. Even the Indian Rupee weakened by an additional 22 basis points, as it closed at levels reaching a record-breaking INR 83.75 against the U.S. Dollar.

Awaiting budget.

While this has expectedly resulted in a noticeable diminishing of incoming tonnage at Alang's waterfront this week, the surprising realization to see a healthy collection of reefers / trawlers that have been arriving WC India for an Alang delivery of late has certainly been noteworthy and is likely on account of a collection of vessels from the colder Northern climates making their way down after their fishing cycles come to an end. In fact, even this week, another sub-3K LDT reefer is awaiting its final resting place on the beach. As such, unless it is a Disney Magical Budget in the coming days, we can only expect a Mickey Mouse time for India next week.

Disney? Mickey Mouse Time?

NO MARKET SALES REPORTED

PAKISTAN

SOME STABILITY!

Chillin on the sidelines.

As a depressing wave of instability sweeps across the pricing gamut of key sub-continent ship recycling destinations, Pakistan continues chillin' on the sub-continent sidelines as neighboring counterparts struggle over these summer / monsoon months with declining levels & demand amidst a ruthless shortage of tonnage that continues to suffocate the ship recycling world and is invariably thrusting the Pakistani market back into the limelight as a viable destination once again, especially as sub-continent price levels across the board start to dine at the same table and India doesn't look like its headed towards an easy Q3 or even early Q4 – especially if its budget turns out to be a negative one.

IMF boost.

Meanwhile, amidst the ongoing shortage of market & private tonnage, Gadani Recyclers continue bidding at leisure on whatever catches a local fancy, which certainly answers why last week's solo arrival earmarks what has been a rather picky affair at Gadani's waterfront as well as Pakistan's performance at the bidding tables of late, now that they have far surpassed last year's volume…and then some. Confirming the picky state of affairs has been the fact that there have been no other arrivals for nearly 2 weeks now.

CenterStage.

Notwithstanding, and unlike the performance of key fundamentals at competing sub-continent destinations, Pakistani plate prices though flatlined, remain firmly placed at levels in excess of USD 200/Ton above that of neighboring India, in addition to a Pakistani Rupee that firmed nearly 25 basis points against the U.S. Dollar, closing the week at PKR 278. Moreover, unlike the Bangladeshi market, as Pakistan's domestic inflation continues to decrease on the back of IMF's most recent tranche of U.S. Dollar reserves that continues to help the Pakistani government reign in import related expenses effectively and still keeping local credit lines open to Gadani Recyclers via access to L/C funding on fresh tonnage.

As such, despite India's surprising ongoing retreat (unless by some miracle the budget turns out to be a positive one) and Bangladesh still raking in a bunch of small LDT Far Eastern tonnage, Pakistani Recyclers seem as though they might increasingly take centerstage for all non-HKC tonnage in the coming weeks, whether they choose to or not.

NO MARKET SALES REPORTED

TURKEY

TRICKLE OF LIFE!

There was finally some positive news of a couple of private coasters being fixed into Aliaga this week, albeit too tiny of an LDT to contend with, or keep local appetites anywhere near satisfied, or even see the local mindset anywhere near on even keel. Meanwhile, as local steel plate prices remain subdued, the Lira lost another 13 basis points against the U.S. Dollar seeing levels peak mid-week at TRY 33.14, only to end the week at level just north of TRY 33.05, all whilst demand continues to choke on itself and on the back of missing tonnage.

Choke on itself.

Nonetheless, news of these reported fixtures has certainly ignited hopes, which only seems destined to keep the local situation exacerbated just that much.

NO MARKET SALES REPORTED

BAD PUNS AND WORSE JOKES!

- *How do you organize an astronomer's party? You planet.*
- *What's the action like at a circus? In-tents.*
- *Why did the scarecrow get promoted? Because he was outstanding in his field.*
- *Why does Snoop Dogg carry an umbrella? Fo' drizzle my nizzle.*
- *What do you call a pony with a sore throat? A little hoarse.*
- *What do you call a fish with no eye? Fsh.*
- *What do you call a boomerang that doesn't come back? A stick!*
- *What kind of car does an egg drive? A Yolkswagen.*
- *What do you call a factory that sells generally decent goods? A satisfactory.*
- *Why was 6 afraid of 7? Because 7 ate 9.*
- *Why should you never eat a clock? Because it's too time-consuming.*
- *What should a sick tweety bird do? Get tweetment.*
- *I want a job cleaning mirrors. It's something I can really see myself doing.*
- *What grades did the pirate get on his report card? Seven Cs.*
- *How do you make a tissue dance? Put a little boogie in it.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
August 15 – Independence Day August 26 - Janmashtami	July 19 – July 27 July 31 – August 08 August 17 – August 26

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
August 26 - Janmashtami	July 21 – July 24 August 04 – August 07 August 19 – August 22

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in July & August	August 14 – Independence Day	August 30 – Victory Day

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ALANG - Port Position as of July 19, 2024

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Gordon	2,757	Fishing Vessel	Arrived July 16
2	*Tokachi Frost*	*2,529*	*Reefer*	*Delivered July 17*
Total Tonnage		**5,286**		

CHATTOGRAM - Port Position as of July 19, 2024

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Ever Express*	*1,377*	*General Cargo*	*Delivered July 11*
2	Nareswar	10,308	Bulk Carrier	Arrived July 05
3	*Pan*	*1,662*	*General Cargo*	*Delivered July 16*
4	Pioneer	1,348	Offshore Tug	Arrived July 12
5	Sia 30	2,587	General Cargo / Container	Arrived July 14
6	*Xing Tong 313*	*1,909*	*LPG Tanker*	*Delivered July 12*
Total Tonnage		**19,192**		

GADANI - Port Position as of July 19, 2024

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Far East Grace	3,585	Container	Arrived July 09
Total Tonnage		**3,585**		

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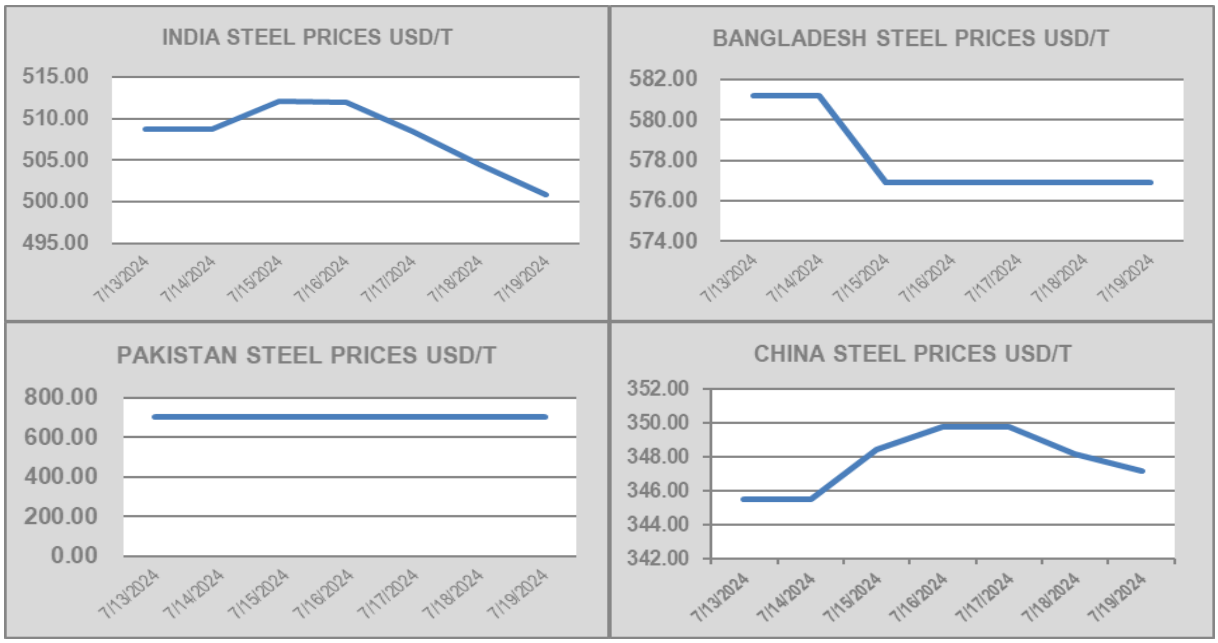
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
7/13/2024	508.74	42,500.00	706.60	197,000.00	581.20	68,000.00	345.53
7/14/2024	508.74	42,500.00	706.60	197,000.00	581.20	68,000.00	345.53
7/15/2024	512.02	42,800.00	706.60	197,000.00	576.92	67,500.00	348.46
7/16/2024	511.90	42,800.00	706.60	197,000.00	576.92	67,500.00	349.79
7/17/2024	508.49	42,500.00	706.60	197,000.00	576.92	67,500.00	349.79
7/18/2024	504.48	42,200.00	706.60	197,000.00	576.92	67,500.00	348.20
7/19/2024	500.84	41,900.00	706.60	197,000.00	576.92	67,500.00	347.20



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